IN THE NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
DIVISION BENCH
COURT-1

Date: 16.01.2023.

C.P.(CAA)/28(AHM)2022 in
CA (CAA) No. 3 of 2022

(An application filed under Section 230-232 of the Companies Act, 2013 and other applicable provisions of the Companies Act, 2013)

In the matter of Scheme of Arrangement

M/s. Bhikkamal Chhotelal Exim Pvt. Ltd. …Applicant Company

For Clarification

1. The instant application was reserved for passing the order, after seeking a clarification vide order dated 06.12.2022 as no details were given in the Scheme as to what was being written off against the proposed extinguished share capital of Rs. 3,26,50,000/-. It was also noted that the other Creditors was shown at 1717.56 Crores (at Page No. 74 of the Application (CP(CAA) 28 of 2022)). A clarification thereon has been filed vide affidavits dated 27.12.2022 and 10.01.2023.

2. In the context, we have perused the relevant scheme as proposed in CA(CAA) 3 of 2022 and the various documents placed on records in the present petition (CP(CAA) 28 of 2022). We find that further clarification is required on the following points:

i. Other loans and advances as on 31.03.2020 is shown at Rs. 6,19,69,986/-. This amount has increased to Rs. 9,41,81,603/- as on 31.03.2021 [at page no. 68 of CAA(CAA) 3 of 2022]. This shows raising of fresh unsecured loan in the year 2020-21 of Rs. 3.22 Crores. It is noted from the Scheme that as against these unsecured loans, a payment of Rs. 15,00,000/- is proposed to pay them (proportionately) as full and final settlement. It is noted that company's financial position has been quite unstable for last several years but even then some parties advanced Rs. 3.22 Crore during the Year 2020-21 and as per the Scheme submitted very next year, those parties are being paid a very small amount out of proposed Rs. 15,00,000/-. In the context following details must be brought on record:

a) Name and address of the parties who advanced the fresh amount of loan Rs. 3.22 Crore during 2020-21.

b) Whether those parties had also attended the meeting of the other creditors and took part in voting for approval of the Scheme.

ii. The list of the Shareholders [at page no. 128 of CA(CAA) 3 of 2022] reflects that SBI is also holding 20% of the shares. From the chairman's report, it is noted that SBI did not participate in voting for approval of the Scheme. Notice appears to have been sent by email. A

complete address of the SBI together with email ID may be placed on record so that a notice could be issued to SBI by the Registry in order to ascertain whether they had received the email and consciously absented themselves from attending that meeting. The Petitioner is also required to obtain a confirmation from the Bank as to whether they had received their email under reference.

iii. The list of other creditors as placed at Schedule-I [at page no. 103 of CA(CAA) 3 of 2022] includes the contingent liabilities of Rs. 1708.10 Crores on account of personal Guarantee given to following 8 Companies/Banks:

Sl.	**Particulars**	**Amount**
1.	Rare Asset Reconstruction Company	1394,77,82,000
2.	Union Bank of India	196,71,24,957
3.	Indian Overseas Bank	53,05,49,190
4.	Indian Bank	52,27,74,684
5.	Barsa Steel Private Limited	3,63,00,000
6.	Fairland Sales Private Limited	6,50,00,000
7.	Prakash Steel Corporation	80,00,000
8.	Siddhbali Steels & Strips Private Limited	35,00,000
	Total	**1708,10,30,831**

The Scheme also provides for extinguishing the right of those lenders over the petitioner company on the personal guarantee given by it. The Rs. 15 lakh in all is proposed to the Creditors shown in the Balance Sheet at Rs. 9.41 Crores as well as to these lenders towards the Corporate Guarantee given for an amount over Rs. 1708 Crores. From the Chairman's Report it is noted that the Government Banks namely Union Bank of India, Indian Overseas Bank and Indian Bank have not participated into that meeting for approval of the Scheme. The issue arises as to whether through the Scheme under Section 230-231 such extinguishment of right over the Bank Guarantee could be done at all based on majority votes. We direct the Petitioner Company to place on record the complete address of these three banks along with their email IDs so that notice could be issued by the Registry asking those Banks to be present for the hearing and submit their comments on the proposed Scheme vis-à-vis extinguishment of their right over the personal guarantee given by the Petitioner Company.

3. The Balance Sheet of the petitioner company reflects a very little assets/net worth of the Company. Let the details be placed on record as to how this Company was in a position to give personal guarantee on the borrowings to such an extent of 1708 Crores. Also the details as to who were the borrowers and what are the status of those borrower companies as on date.

4. In view of the above, we release this matter for clarification.

List the matter on 18.01.2023.

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KAUSHALENDRA KUMAR SINGH
MEMBER (TECHNICAL)

-SD-

DR. MADAN B GOSAVI
MEMBER (JUDICIAL)

Sapna